Bank on better

National Bank

The Board of Directors of National Bank of Kenya Limited hereby announce the un-audited results for the first quarter ended 31 March 2015

I. STATEMENT OF FINANCIAL POSITION
As at 31 March 2015

		BANK 31-Mar-15 Shs'000 Un-audited	BANK 31-Dec-14 Shs'000 Audited	BANK 31-Mar-14 Shs'000 Un-audited	GROUP 31-Mar-15 Shs'000 Un-audited	GROUP 31-Dec-14 Shs'000 Audited	GROUP 31-Mar-14 Shs'000 Un-audited
A	**ASSETS**						
1	Cash (both Local & Foreign)	2,468,118	2,750,613	2,465,489	2,816,366	2,980,344	2,696,372
2	Balances due from Central Bank of Kenya	3,504,433	14,214,869	9,825,033	3,504,433	14,214,869	9,825,033
3	Kenya Government and other securities held for dealing purposes	-	-	-	-	-	-
4	Financial Assets at fair value through profit and loss	-	-	-	-	-	-
5	**Investment Securities:(a+b)**	**32,017,084**	**30,259,345**	**28,219,698**	**32,017,084**	**30,259,345**	**28,219,698**
	a) Held to Maturity:(i+ii)	**27,766,456**	**25,645,729**	**27,457,126**	**27,766,456**	**25,645,729**	**27,457,126**
	i. Kenya Government securities	27,587,426	25,477,424	27,363,291	27,587,426	25,477,424	27,363,291
	ii. Other securities	179,030	168,305	93,835	179,030	168,305	93,835
	b) Available for sale:(i+ii)	**4,250,628**	**4,613,616**	**762,572**	**4,250,628**	**4,613,616**	**762,572**
	i. Kenya Government securities	4,250,628	4,613,616	762,572	4,250,628	4,613,616	762,572
	ii. Other securities	-	-	-	-	-	-
6	Deposits and balances due from local banking institutions	160,529	1,337,738	2,741,319	160,529	1,337,738	2,741,319
7	Deposits and balances due from banking institutions abroad	475,162	695,924	301,439	475,162	695,924	301,439
8	Tax recoverable	220,553	431,696	-	220,553	423,518	-
9	Loans and advances to customers (net)	70,050,360	65,641,491	47,193,129	70,050,360	65,641,491	47,193,129
10	Balances due from banking institutions in the group	-	-	-	-	-	-
11	Investments in associates	-	-	-	-	-	-
12	Investments in subsidiary companies	19,963	19,963	19,963	19,963	19,963	19,963
13	Investments in joint ventures	-	-	-	-	-	-
14	Investment properties	-	-	-	-	-	-
15	Property and equipment	4,871,613	4,550,257	4,000,241	4,872,734	4,551,542	4,000,699
16	Prepaid lease rentals	418	419	387	418	419	387
17	Intangible assets	785,832	965,539	973,587	786,391	966,192	974,612
18	Deferred tax asset	-	-	-	-	-	94
19	Retirement benefit asset	-	-	-	-	-	-
20	Other assets	2,013,625	1,997,032	3,176,204	2,022,425	2,000,651	3,176,204
21	**TOTAL ASSETS**	**116,587,690**	**122,864,886**	**98,916,489**	**116,946,418**	**123,091,996**	**99,148,949**
B	**LIABILITIES**						
22	Balances due to Central Bank of Kenya	-	-	-	-	-	-
23	Customer deposits	85,262,783	104,733,709	81,747,128	85,262,783	104,733,709	81,747,128
24	Deposits and balances due to local banking institutions	10,042,458	5,077,625	3,130,403	10,042,458	5,077,625	3,130,403
25	Deposits and balances due to foreign banking institutions	-	-	-	-	-	-
26	Other money market deposits	-	-	-	-	-	-
27	Borrowed funds	-	-	-	-	-	-
28	Balances due to banking institutions in the group	21,976	21,976	21,976	21,976	21,976	21,976
29	Tax payable	-	-	431,869	-	-	446,703
30	Dividends payable	29,961	38,085	29,617	29,961	38,085	29,617
31	Deferred tax liability	25,460	25,460	83,894	25,460	25,227	83,894
32	Retirement benefit liability	-	-	-	-	-	-
33	Other liabilities	8,598,557	854,119	1,248,313	8,830,700	971,351	1,386,612
34	**TOTAL LIABILITIES**	**103,981,195**	**110,750,974**	**86,693,200**	**104,213,338**	**110,867,973**	**86,846,333**
C	**SHAREHOLDERS' FUNDS**						
35	Paid up /Assigned capital	7,075,000	7,075,000	7,075,000	7,075,000	7,075,000	7,075,000
36	Share premium/(discount)	-	-	-	-	-	-
37	Revaluation reserves	1,188,147	1,188,147	1,201,022	1,188,147	1,188,147	1,201,022
38	Retained earnings/Accumulated losses	3,728,602	3,268,312	3,550,463	3,855,187	3,378,423	3,629,790
39	Statutory loan loss reserves	583,647	565,456	396,804	583,647	565,456	396,804
40	Other Reserves	31,099	16,997	-	31,099	16,997	-
41	Proposed dividends	-	-	-	-	-	-
42	Capital grants	-	-	-	-	-	-
43	**TOTAL SHAREHOLDERS' FUNDS**	**12,606,495**	**12,113,912**	**12,223,289**	**12,733,080**	**12,224,023**	**12,302,616**
44	**TOTAL LIABILITIES & SHAREHOLDERS' FUNDS**	**116,587,690**	**122,864,886**	**98,916,489**	**116,946,418**	**123,091,996**	**99,148,949**

II. STATEMENT OF COMPREHENSIVE INCOME
for the quarter ended 31 March 2015

		BANK 31-Mar-15 Shs'000 Un-audited	BANK 31-Dec-14 Shs'000 Audited	BANK 31-Mar-14 Shs'000 Un-audited	GROUP 31-Mar-15 Shs'000 Un-audited	GROUP 31-Dec-14 Shs'000 Audited	GROUP 31-Mar-14 Shs'000 Un-audited
1	**Interest Income**						
1.1	Loans and advances	2,250,137	7,562,961	1,553,908	2,250,137	7,562,961	1,553,908
1.2	Government securities	789,780	2,979,003	705,910	789,780	2,979,003	705,910
1.3	Deposits and placements with banking institutions	41,181	155,108	36,874	41,181	155,108	36,874
1.4	Other Interest Income	-	108	22	-	108	22
1.5	**TOTAL INTEREST INCOME**	**3,081,098**	**10,697,180**	**2,296,714**	**3,081,098**	**10,697,180**	**2,296,714**
2	**Interest Expense**						
2.1	Customer deposits	1,110,179	3,620,665	703,285	1,110,179	3,620,665	703,285
2.2	Deposits and placements from banking institutions	110,036	281,458	36,351	110,036	273,886	36,351
2.3	Other interest expenses	4,110	5,178	3,635	4,110	5,178	3,635
2.4	**TOTAL INTEREST EXPENSES**	**1,224,325**	**3,907,301**	**743,271**	**1,224,325**	**3,899,729**	**743,271**
3	**NET INTEREST INCOME**	**1,856,773**	**6,789,879**	**1,553,443**	**1,856,773**	**6,797,451**	**1,553,443**
4	**Non-Interest Income**						
4.1	Fees and commissions on loans and advances	85,246	406,095	158,507	85,246	406,095	158,507
4.2	Other fees and commissions	419,873	1,592,355	340,474	454,224	1,725,152	401,716
4.3	Foreign exchange trading income (loss)	136,293	434,229	81,632	136,293	434,229	81,632
4.4	Dividend Income	-	-	-	-	-	-
4.5	Other Income	94,780	571,267	212,642	94,780	571,267	212,642
4.6	**TOTAL NON-INTEREST INCOME**	**736,192**	**3,003,946**	**793,255**	**770,543**	**3,136,743**	**854,497**
5	**TOTAL OPERATING INCOME**	**2,592,965**	**9,793,825**	**2,346,698**	**2,627,316**	**9,934,194**	**2,407,940**
6	**Other Operating Expenses**						
6.1	Loan loss provision	155,661	525,307	141,437	155,661	525,307	141,437
6.2	Staff costs	903,487	3,679,870	989,152	912,333	3,710,219	992,026
6.3	Directors' emoluments	5,566	77,109	5,338	5,566	77,109	5,338
6.4	Rental charges	71,926	252,968	61,095	71,944	256,067	61,110
6.5	Depreciation charge on property and equipment	82,962	349,359	92,899	83,033	349,609	92,975
6.6	Amortisation charges	76,088	300,859	74,281	76,181	301,231	74,374
6.7	Other operating expenses	613,731	2,276,473	451,710	615,321	2,282,967	452,218
6.8	**Total Operating Expenses**	**1,909,421**	**7,461,945**	**1,815,912**	**1,920,039**	**7,502,509**	**1,819,478**
7	**PROFIT BEFORE TAX AND EXCEPTIONAL ITEMS**	**683,544**	**2,331,880**	**530,786**	**707,277**	**2,431,685**	**588,462**
8	Exceptional items	-	(1,128,554)	-	-	(1,128,554)	-
9	**Profit after exceptional items**	**683,544**	**1,203,326**	**530,786**	**707,277**	**1,303,131**	**588,462**
10	Current tax	(205,063)	(402,628)	(159,236)	(212,322)	(432,429)	(177,692)
11	Deferred tax	-	-	-	-	-	-
12	**Profit after tax and exceptional items**	**478,481**	**800,698**	**371,550**	**494,955**	**870,702**	**410,770**
13	**OTHER COMPREHENSIVE INCOME**						
13.1	Gains/(Losses) from translating the financial statements of foreign operations	-	-	-	-	-	-
13.2	Fair value changes in available for sale financial assets	3,447	16,997	3,447	3,447	16,997	3,447
13.3	Revaluation surplus on Property,plant and equipment	-	-	-	-	-	-
13.4	Share of other comprehensive income of associates	-	-	-	-	-	-
13.5	Income tax relating to components of other comprehensive income	-	-	-	-	-	-
14	**Other Comprehensive Income for the year net of tax**	**3,447**	**16,997**	**3,447**	**3,447**	**16,997**	**3,447**
15	**TOTAL COMPREHENSIVE INCOME FOR THE YEAR**	**481,928**	**817,695**	**374,997**	**498,402**	**887,699**	**414,217**
16	**EARNINGS PER SHARE - basic and diluted**	**Shs 1.71**	**Shs 2.86**	**Shs 1.33**	**Shs 1.77**	**Shs 3.11**	**Sh 1.47**

III. OTHER DISCLOSURES

		BANK 31-Mar-15 Shs'000 Un-audited	BANK 31-Dec-14 Shs'000 Audited	BANK 31-Mar-14 Shs'000 Un-audited
1	**Non-performing loans and advances**			
a	Gross non-performing loans and advances	6,967,504	7,236,684	5,142,047
b	Less: Interest in suspense	248,548	188,555	70,650
c	**Total Non-performing loans and advances (a-b)**	**6,718,956**	**7,048,129**	**5,071,397**
d	Less: Loan loss Provisions	2,185,083	2,263,409	1,886,271
e	**Net NPLs exposure (c-d)**	**4,533,873**	**4,784,720**	**3,185,126**
f	Discounted Value of Securities	4,533,873	4,784,720	3,185,126
g	**Net NPLs exposure (e-f)**	-	-	-
2	**Insider loans and Advances**			
a	Directors, Shareholders and associates	106,569	113,283	85,516
b	Employees	5,251,968	4,851,152	5,047,254
c	**Total insider loans, advances and other facilities**	**5,358,537**	**4,964,435**	**5,132,770**
3	**Off-Balance sheet items**			
a	Letters of credit, guarantees and acceptances	7,956,977	5,350,757	4,591,696
b	Forwards, swaps and options	4,566,271	2,670,353	1,015,348
c	Other contingent liabilities	-	-	64,800
d	**Total contingent liabilities**	**12,523,248**	**8,021,110**	**5,671,844**
4	**Capital Strength**			
a	**Core capital**	**10,546,119**	**10,343,312**	**10,426,061**
b	Minimum Statutory Capital	1,000,000	1,000,000	1,000,000
c	Excess/(Deficiency) (a-b)	9,546,119	9,343,312	9,426,061
d	Supplementary capital	880,684	862,493	697,059
e	Total capital (a+d)	**11,426,803**	**11,205,805**	**11,123,120**
f	Total risk weighted assets	**88,680,844**	**80,433,021**	**67,431,199**
g	**Core capital/total deposit liabilities**	**12.3%**	**9.9%**	**12.3%**
h	Minimum Statutory Ratio	8.0%	8.0%	8.0%
I	Excess/(Deficiency) (g-h)	4.3%	1.9%	4.3%
j	**Core capital/total risk weighted assets**	**11.9%**	**12.9%**	**15.5%**
k	Minimum Statutory Ratio	10.5%	10.5%	8.0%
l	Excess/(Deficiency) (j-k)	1.4%	2.4%	7.5%
m	**Total capital/total risk weighted assets**	**12.9%**	**13.9%**	**16.5%**
n	Minimum Statutory Ratio	14.5%	12.0%	12.0%
o	Excess/(Deficiency)(m-n)	-1.6%	1.9%	4.5%
5	**Liquidity**			
a	**Liquidity Ratio**	**21.0%**	**31.5%**	**35.3%**
b	Minimum Statutory Ratio	20.0%	20.0%	20.0%
c	Excess/(Deficiency)(a-b)	1.0%	11.5%	15.3%

DIVIDENDS

The directors do not recommend the payment of an interim dividend.

APPROVAL

The un-audited financial statements are extracts of the financial statements and records of the Bank which were approved by the Board of Directors on 27 May 2015. The complete set of quarterly financial statements, statutory and qualitative disclosures can be accessed on the Bank's website www.nationalbank.co.ke.

They may also be accessed at the Bank's registered office listed hereunder.

The un-audited financial statements were approved by the Board of Directors on 27 May 2015 and signed on its behalf by:

M.A. Hassan - Chairman
Munir S. Ahmed - Managing Director
Habil Waswani - Company Secretary

REGISTERED OFFICE

National Bank Building,
18 Harambee Avenue, Nairobi.
P.O. BOX 72866, 00200, Nairobi.
Telephone: 2828000, 0711038000, 0732018000
Fax : 311444
E-Mail : info@nationalbank.co.ke
Website : www.nationalbank.co.ke

Thank You

Our Commitment to you is that you may always
Bank on Better

2nd Runner's up
Best Bank in Mobile Banking

1st Runner Up
Fastest Growing Bank

1st Runner's up Best Bank in
Customer Service

2nd Runner's up
Best Bank Agency Banking

Think Business Banking Awards 2015

For more information please contact
+254 020 282 089 00 0703 088 900

callcentre@nationalbank.co.ke National Bank of Kenya @National_bank Nationalbank_ke

www.nationalbank.co.ke

National Bank of Kenya is regulated by the Central Bank of Kenya